

ORIGINAL

(S E R V E D)
(May 26, 2004)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D. C.

May 26, 2004

DOCKET NO. 03-10

PUERTO RICO FREIGHT SYSTEMS, INC.

v.

R & S TRADING, INC.

COMPLAINT DISMISSED; SETTLEMENT APPROVED

By complaint served September 8, 2003, complainant Puerto Rico Freight Systems, Inc. (PRFS), a company engaged in the business of freight consolidation on the island of Puerto Rico, alleged that respondent R & S Trading, Inc. (R & S) was a "business entity . . . engaged in the maritime business in the Commonwealth of Puerto Rico and throughout several islands in the Caribbean." PRFS alleged that R & S had violated sections 5(a), 8, and 10 of the Shipping Act of 1984 in various ways, specifically, by operating without a tariff, waiving fees for ocean freight, operating without issuing bills of lading, and competing with other freight operators who adhered

to their tariffs to the disadvantage of these other operators. PRFS asked the Commission to issue a cease and desist order and claimed money damages of over \$25,000. PRFS also alleged that R & S had violated an agreement to cease and desist from such activities, which agreement had been entered into in a previous Commission complaint case, Docket No. 95-03 - *Puerto Rico Freight Systems, Inc. v. R & S Trading and J.C. Trading*, 27 S.R.R. 378 (1995). Respondent R & S denied complainant's allegations and corrected the complaint by stating that its correct name was Carlos B. Sanchez d/b/a R & S Trading.

Some time elapsed in this case because of a technical defect in the complaint requiring a proper verification and because counsel for complainant was relocating from Puerto Rico to Baltimore, Maryland. Also, the parties requested 90 days to obtain evidence through discovery. I referred the case to the Commission's Dispute Resolution Specialist, Mr. Ronald D. Murphy, to assist the parties in reaching a settlement, as they had requested. After being advised by Mr. Murphy that settlement did not seem probable, I issued a further order instructing the parties to cooperate with Mr. Murphy and advising them of a time and date on which Mr. Murphy would be available in San Juan. See Orders and Notice issued December 15, 2003, April 19, 2004, and May 18, 2004. With Mr. Murphy's assistance as mediator, the parties were able to reach a settlement. With the agreement of the parties, Mr. Murphy has submitted the terms of the settlement agreement with a request that it be approved. See Submission of Stipulation of Agreement and Settlement and Request for Approval, attached to this ruling.

Discussion and Conclusions

The settlement agreement submitted by Mr. Murphy at the request of the parties is relatively simple. Essentially, in return for payment by respondent to PRFS of \$7,000, complainant agrees to waive all claims against R & S that were involved in the earlier Docket No. 95-03 as well as the claims involved in the instant complaint. Furthermore, R & S agrees to reapply for an NVOCC license by May 27, 2004, and not to handle shipments until such time as a license is issued by the Commission. The parties also incorporate the terms of the earlier settlement agreement entered into in Docket No. 95-03. The agreement also provides that if R & S fails to submit the full \$7,000 payment by May 31, 2004, R & S will pay attorney fees and expenses incurred by complainant for rescheduling a deposition of Mr. Carlos Sanchez that has been canceled.

This is the second settlement agreement that has been reached with the help of Mr. Murphy that involves complainant, PRFS, who alleged that a company or entity had caused PRFS injury by operating in violation of the 1984 Act. (See Docket No. 03-09, *Puerto Rico Freight Systems, Inc. v. PR Logistics Corp.*, Complaint Dismissed; Settlement Approved, May 26, 2004.) As in Docket No. 03-09, Mr. Murphy, at the request of the parties, has submitted a request for approval of the settlement agreement, citing four Commission cases, including the first of the modern cases approving settlement agreements, namely, *Old Ben Coal Co. v. Sea-Land Service, Inc.*, 21 F.M.C. 506, 18 S.R.R. 1085 (ALJ, finalized by the Commission, November 29, 1978).

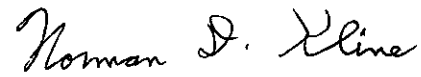
As explained in the ruling issued in Docket No. 03-09, cited above, there are numerous Commission cases that have established a strong Commission policy that favors approval of settlements reached in complaint proceedings. A good summary of the policy and the Commission's

role in examining settlement agreements and approving them is contained in *Old Ben*, cited above, 21 F.M.C. at 512-513 (18 S.R.R. at 1091-1094). Briefly, the Commission does not rubber stamp settlement agreements but reviews them to make sure that they do not violate any law or public policy and they are presumed to be fair, correct and valid absent any indication of fraud, duress or the like, and the amount of payment agreed to by the parties is a matter left to the bargaining of the parties. See *Great White Fleet, Ltd. v. Southeastern Paper Products Exports, Inc.*, 26 S.R.R. 1487, 1489-1490 (1994).

As in the settlement agreement reached in Docket No. 03-09, the parties have apparently decided that it is cheaper and in their best economic interests not to expend the time and money in an attempt to prove their claims and defenses but to rid themselves of their dispute and litigation costs by settling on their own terms. I see nothing in their settlement agreement that appears to contravene any law or public policy nor that would rebut the presumption that the agreement is fair, correct and valid.

For the reasons given above, the settlement agreement is approved and the complaint is dismissed. However, in view of previous cases in which the parties have failed to live up to their settlement agreements, the present approval and dismissal of the complaint is conditioned upon the parties' carrying out the terms of their settlement agreement. In the event of a breach of the

settlement agreement, if complainant so chooses, the complaint may be reactivated to determine the issues framed under the Shipping Act in that complaint.¹

A handwritten signature in cursive script that reads "Norman D. Kline".

Norman D. Kline
Administrative Law Judge

¹It is prudent to allow for the possibility that respondent might breach the settlement agreement because such breaches have occurred in several Commission cases. See *Avalon Risk Management v. Deitchman*, 29 S.R.R. 1373, 1375 (2003) (complaint dismissed but may be refiled in the event of respondent's default on settlement agreement).

FEDERAL MARITIME COMMISSION
WASHINGTON, DC 20573

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DOCKET NO. 03-10

PUERTO RICO FREIGHT SYSTEMS, INC.
V.
R&S TRADING, INC.

SUBMISSION OF STIPULATION OF AGREEMENT AND SETTLEMENT
AND REQUEST FOR APPROVAL

The parties have entered into the attached Stipulation of Agreement and Settlement, and have requested that I submit the Stipulation for your approval. The agreement was reached through participation in mediation pursuant to the Commission's Alternative Dispute Resolution ("ADR") provisions under Subpart U of the Rules of Practice and Procedure, 46 C.F.R. § 502.401 *et. seq.* Under the terms of this agreement, Respondent agrees to pay the sum of \$7,000 in full settlement of all claims, and to reapply for a license as an Ocean Transportation Intermediary (NVOCC). The settlement reflects a weighing of the risks and costs inherent in future litigation, and a desire by both parties to avoid such litigation.

As you know, a long line of cases have established a Commission policy that favors approval of settlements reached in complaint proceedings. See, e.g., *Inlet Fish Producers, Inc. v. Sea-Land Service, Inc.*, 29 S.R.R. 975 (2002), *Crowley Liner Services, Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Authority*, 29 S.R.R. 971 (2002), *Puerto Rico Shipping Association v. Puerto Rico Ports Authority*, 27 S.R.R. 645 (1996), and *Old Ben Coal Co. v. Sea-Land Service, Inc.*, 21 F.M.C. 506, 512, 18 S.R.R. 1085 (ALJ 1978).

In addition, the Commission has codified its strong policy in favor of utilizing ADR to obtain consensual approaches to dispute resolution, 46 C.F.R. § 502.401. Having served as mediator in this proceeding, pursuant to request of the parties, I submit for your approval their Stipulation of Agreement and Settlement, and their request for dismissal of this proceeding.



Ronald D. Murphy

Federal Maritime Commission

Dispute Resolution Specialist

May 25, 2004

cc: Harry A. Ezratty, Esq., Counsel for Complainant
Diana Lynn Pagan Rosado, Esq., Counsel for Respondent

FEDERAL MARITIME COMMISSION

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PUERTO RICO FREIGHT SYSTEMS, INC.

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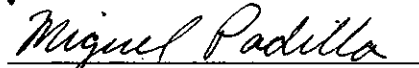
STIPULATION OF AGREEMENT AND SETTLEMENT

The parties have agreed to settle this proceeding under the following terms and conditions. This Stipulation represents the terms agreed to between the parties in full settlement of this proceeding, and this Stipulation shall be submitted for approval of the presiding Administrative Law Judge in this proceeding.

1. Respondent Carlos B. Sanchez d/b/a R&S Trading will reapply for a license as an Ocean Transportation Intermediary (NVOCC). Such re-application will be submitted no later than May 27, 2004. Respondent shall not ship or carry cargo to Sint Maarten for his own account or that is owned by any person other than himself until such time as a license is issued by the Federal Maritime Commission.
2. All claims against Respondent for shipments preceding the date of this Stipulation are waived, including any claims under the Amended Stipulation executed May 1, 1995, agreed to by the parties and approved by the Federal Maritime Commission in settlement of Federal Maritime Commission Docket No. 95-03.
3. The terms of said Amended Stipulation of May 1, 1995 are incorporated by reference into this Stipulation and shall apply with respect to any shipments in violation subsequent to today.
4. In consideration of the above terms, and in full settlement of this proceeding, Respondent Carlos B. Sanchez shall pay by certified or cashier's check to Complainant the sum of \$7,000, representing accumulated attorneys fees and expenses, which shall be paid no later than May 31, 2004.
5. The parties acknowledge that the deposition of Mr. Sanchez scheduled for May 20, 2004, is canceled, and Respondent agrees that, if for any reason he fails to submit the full \$7,000 payment

by May 31, 2004, he will pay attorney fees and expenses incurred by Complainant for rescheduling the deposition. Such expenses shall include travel, hotel, and reasonable per diem and attorney fees, and shall become immediately due and payable.

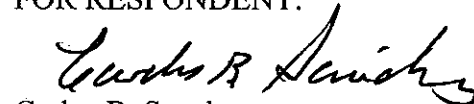
FOR COMPLAINANT:


Miguel Padilla


Harry A. Ezratty, Esq.
Counsel

Dated: May 20, 2004

FOR RESPONDENT:


Carlos B. Sanchez


Diana Lynn Pagan Rosado, Esq.
Counsel